



Blue Diamond Ventures Limited & another v Mbakimo Limited & 3 others (Environment and Land Case E437 of 2021) [2025] KEELC 6360 (KLR) (23 January 2025) (Judgment)

Neutral citation: [2025] KEELC 6360 (KLR)

**REPUBLIC OF KENYA
IN THE ENVIRONMENT AND LAND COURT AT NAIROBI
ENVIRONMENT AND LAND CASE E437 OF 2021
J OMANGE, J
JANUARY 23, 2025**

BETWEEN

BLUE DIAMOND VENTURES LIMITED 1ST PLAINTIFF

LISPER NDUITA CHEGE 2ND PLAINTIFF

AND

MTAKIMO LIMITED 1ST DEFENDANT

ERIC KIMARI KAMANU 2ND DEFENDANT

JEDIDAH MBAIRE KIMARI 3RD DEFENDANT

ANNE MUTHONI KAMANU 4TH DEFENDANT

JUDGMENT

1. The Plaintiff filed this suit against the Defendants on the basis of a lease agreement executed in respect of the suit properties Dagoretti/ Kangemi/ 1813 and Dagoretti/ Kangemi/ 1814. The lease which was between the Plaintiffs (the lessees) and the Defendants (the lessors)was executed on 1st November, 2016.
2. The terms of the agreement which are generally not contested were that the the lessess was to pay Kshs 100,000 per month for the suit properties for year 1 to 5, thereafter the rent was to be increased at an amount of Kshs 33,500 every 5 years of the term until the 20th year. On the 21st year, the rent was to be Kshs 250,000 per month for the whole year. Rent was to be payable quarterly for the term.
3. It was agreed that the lessee was to install power and water at its own costs and was to pay any bills as they fell due. However, the lessor was to assist with any applications for power and water.
4. The Plaintiff filed this suit seeking various orders;
 - a. Special damages as per the particulars of special damages hereinabove



- b. General damages for breach of Lease Agreement
 - c. A declaration of termination of Lease Agreement registered on 19th April, 2019
 - d. Costs and incidentals to the suit
 - e. Interest on 1, 2 and 4 above
 - f. Any other relief this Honourable court may deem fit and just to grant
5. It is the Plaintiffs case that the Defendant is in breach of the terms of the agreement as follows;
- a. Failing to surrender a part of the demised premises and collecting rent of Kshs 120,000 per month
 - b. Failing to provide water on the demised premises to the detriment of the Plaintiffs clients
 - c. Barring Nairobi Water and Sewerage company from installing water for the Plaintiffs tenants
 - d. Interfering with the Plaintiffs tenants and attempting to collect rent from them
 - e. Threatening to evict the Plaintiffs tenants
 - f. Sub leasing the Plaintiffs portion of land to the Kenya Power and Lighting and Company for 6 months without obtaining consent
 - g. Illegally trespassing and erecting a gate to harass the Plaintiffs tenants
6. The Plaintiffs averred that they had suffered special damages arising from the Defendants collection of rent on the surrendered plot; loss of capital as captured in the valuation report; loss of profit for the remaining 19 years and rent illegally collected from Kenya Power and Lighting Company.
7. On the other hand, the Defendant in the Defence and Counterclaim dated 26th March, 2023 admits that there was a lease agreement between the Plaintiffs and the Defendants on the two properties though the Plaintiffs later surrendered Dagoretti/ Kangemi/ 1814. The Defendants aver that they only took over possession of the two properties after the Plaintiffs defaulted on rent. They counterclaim for rent for Ksh 3,600,000 for the period January 2019 to December 2021. The Defendants insist that they correctly reentered the premises and took over possession after the Plaintiffs failed to respond to the default notices which were served upon them.
8. Lisper Nduta Chege testified on behalf of the Plaintiff and told the court that when she sent the agent to collect rent on the 8th October 2021 he found security who chased the agent and the caretaker. She returned to find that the Defendant had fenced the land. She stated that by the time she was having a meeting with the Defendants the rent arrears was Kshs 140,000 then 180,000 which she cleared. Upon cross examination she conceded that clause 6 of the lease agreement allowed the lessor to take over the premises in case of rent default after issuing 45 days' notice. She denied ever being served with a notice by the Defendants.
9. The second witness was Chrispus Juma who testified that he was chased from the suit property by two people sent by the Defendants. In the process his items were stolen and destroyed.
10. The Defendants were represented by Eric Kimani who insisted that the Plaintiffs had rent arrears which they did not pay. While initially stating that he did not have meetings, he later admitted that they had meetings in which there were no minutes.



11. Counsel for the Plaintiffs submitted that it had been proved that the Defendants were in breach of the agreement as they interfered with the Plaintiffs quiet possession. Counsel insists that the Defendants had failed to prove that there were rent arrears and that they had served the 45 day notice that would have entitled them to re-enter and take possession in the event there was breach.
12. On the other hand counsel for the Defendants submitted that the parties were bound by the terms of the contract and that one of the terms of the contract were that in case of default the Defendants were to take possession after issuance of a 45 day notice which the Defendants insist was done. Counsel submits that the Plaintiffs attempt to issue a termination notice was contrary to the terms of the contract the parties had signed.
13. Having considered the pleadings, the evidence, submissions and authorities cited by both parties, the court distills the following issues for determination;
 1. Which of the parties was in breach of the lease agreement
 2. Whether the parties are entitled to the prayers they seek
 3. Who should pay the costs of the suit
14. On the first issue, the Plaintiffs allege that the Defendants interfered with quiet possession of the demised premises while the Defendants contend that they rightfully took over possession of the demised premises after the Plaintiffs defaulted on rent payment. The question of whether there was default in paying rent and whether the proper procedure was followed in addressing default if any is central to resolving the first issue.
15. The onus fell on the Plaintiffs to adduce evidence to confirm that they paid rent in accordance with the terms of the lease which they had agreed to be bound by. Unfortunately, they fell short of this as they did not produce any records to demonstrate that rent was being paid. The witness statement was suspiciously silent on the issue of rent with the Plaintiff choosing to rely almost entirely on unsigned minutes to prove that they paid.
16. The Plaintiffs while saying they paid rent also raise a second issue why they did not pay rent which is that they were waiting to negotiate new terms after surrendering one of the demised premises to the Defendants. On cross examination she flatly states that she refused to pay rent as the Defendants were collecting rent from Kenya Power and Co Lighting Company for a pole they had left within her property. Having considered the evidence from the parties on the question of rent it is my finding that the Plaintiffs did not pay rent as it fell due. The Plaintiffs were in breach of the clause that required that they pay rent as it fell due.
17. This brings to the fore the question of whether the Defendants then issued notice as required. The Plaintiffs insist that they did not receive the notices which they only saw in court. On the other hand the Defendants insist that they did serve the notices upon the Plaintiffs. In view of the fact that issue of service of notice was seriously contested, it was incumbent upon the Defendants to adduce evidence to confirm this contested issue. The Defendants did not discharge this burden. Upon cross examination, the Defendants witness stated “there is nothing to show letters delivered. If you say they were not delivered, you are correct.” It is therefore my finding that the notices were not served. As such the Defendants were in breach of the clause that required service of 45 days’ notice in case of default.
18. Having found that both parties were in default of the agreement which they agreed to be bound by, the question that then arises is whether they are entitled to the orders they seek which for the Plaintiff is general and special damages. The Defendant on the other hand seeks rent of Kshs 3,600,000, general damages and an order directing removal of encumbrance placed on Dagoretti/Kangemi/ 1813.



19. The Plaintiffs claim for general damages is brought on the basis that the Defendants entry of the demised premises was unlawful. Once parties enter into a tenancy agreement tenants have every expectation that they will be allowed to enjoy all the rights accruing from the agreement. It is also a legitimate expectation that they shall be allowed to enjoy quiet possession without interference by the landlord. In the instant case, the landlord chose to take possession of the premises without issuing notice. This was contrary to clause 6 of the agreement the parties signed. This is a practice the courts have frowned upon.
20. In *Gusii Mwalimu Investment Co. Ltd vs Muahimu Hotel Kisii Ltd*, [1996] eKLR the Court of Appeal while addressing the right of a landlord to re-entry had this to say: -
- “To obtain possession by carrying out illegal distress is per se wrong. ...if what the landlord did in the case is allowed to happen we will reach a situation where the landlord will simply walk into the diminished premises exercising his right of re-entry and obtaining possession extra-judicially. A court of law cannot allow such state of affairs whereby the law of the jungle takes over. It is a trite law that unless a tenant consents or agrees to give possessions, the landlord has to obtain all orders from a competent court or statutory tribunal (as appreciate) to obtain an order for possession”.
21. In this case all the Defendants needed to do was issue the requisite notice as provided under the terms of the lease. They failed to do this. The Plaintiffs are entitled to a remedy for this violation of due process. In considering quantum, I am guided by a similar case. In *Mattarella Limited v Michael Bell & another* [2018] eKLR the Court awarded the Plaintiff damages in the sum of kshs.2,000,000/= and held as follows:
- “While the defendants were not specifically levying distress for rent, what they sought to do and actually did was to take possession by use of the law of the jungle. That must be, as has always been, frowned upon by the courts. Not only frowned upon but equally remedied by award of damages so that everybody seeking to live within the territory of Kenya, a country whose citizens have chosen to be led by the rule of law, gets to know, if one be otherwise under some illusion, that arbitrariness and or just impunity is not a virtue but a vice. Vice cannot be countenanced but must be curtailed and discouraged. I am saying all the foregoing because I have come to the conclusion that a violation of a right, due process and the law invite a reprieve or remedy to the violated.”
22. The Plaintiff also claimed special damages on the basis of the improvements they made on the property and loss of profits as well as amount of rent illegally collected from Kenya Power & Lighting Company Limited. It is trite law that special damages must be specifically pleaded and proved. This claim fails to meet the first limb as the Plaintiff did not specifically state the amounts being claimed. Instead, the Plaintiff made general claims. No evidence was adduced to prove the amount the Defendants were collecting from Kenya Power and Lighting. Neither was any evidence adduced on the profits lost from collection of rent. For these reasons the claim for special damages fails.
23. On their part the Defendants claim rent arrears in the counterclaim. I am satisfied that the Plaintiffs were in violation of the clause that required them to pay rent as it fell due. I find that the Defendants are entitled to the rent claimed.
24. In the end, the court finds that the Plaintiff and the Plaintiff in the counterclaim partially succeed as follows;
- a. An order is hereby issued for termination of the lease dated 1st November, 2016



- b. The Plaintiff is to be paid an amount of Kshs 2,500,000 for unlawful eviction
- c. The Plaintiff in the counterclaim is to be paid Kshs 3,600,000 for rent arrears
- d. The plaintiff is to remove the encumbrance on Dagoretti/Kangemi/1813
- e. Each party to bear their own costs for the suit

JUDGMENT SIGNED, DATED AND DELIVERED VIA MICROSOFT TEAMS THIS 23RD DAY OF JANUARY 2025

JUDY OMANGE

JUDGE

In the presence of:

In the absence of Parties

Court Assistant Meryline

